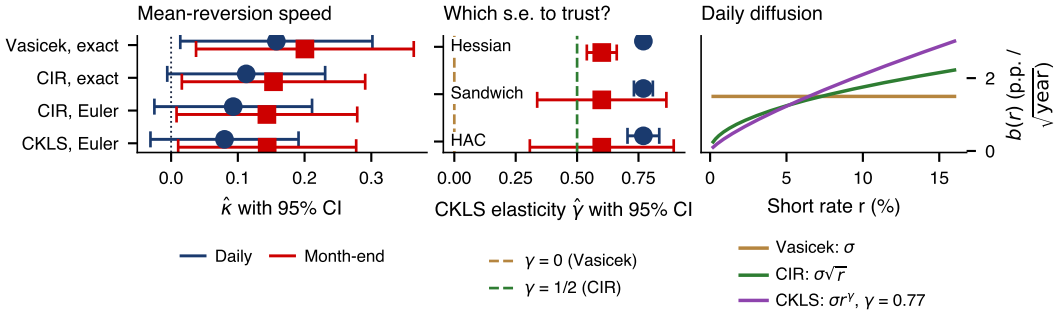
Mean-reversion speed
Vasicek, exact
CIR, exact
CIR, Euler
CKLS, Euler
0.0
0.1
0.2
0.3
$\hat{\kappa}$ with 95% CI
Daily
Month-end
Which s.e. to trust?
Hessian
Sandwich
HAC
0.00
0.25
0.50
0.75
CKLS elasticity $\hat{\gamma}$ with 95% CI
γ = 0 (Vasicek)
γ = 1/2 (CIR)
Daily diffusion
0
5
10
15
Short rate r (%)
2
0
$b(r)$ (p.p. / $\sqrt{\text{year}}$)
Vasicek: σ
CIR: $\sigma\sqrt{r}$
CKLS: σr^{γ}, γ = 0.77